

HEALTHCARE SECTOR

Healing India, Shaping Global Healthcare

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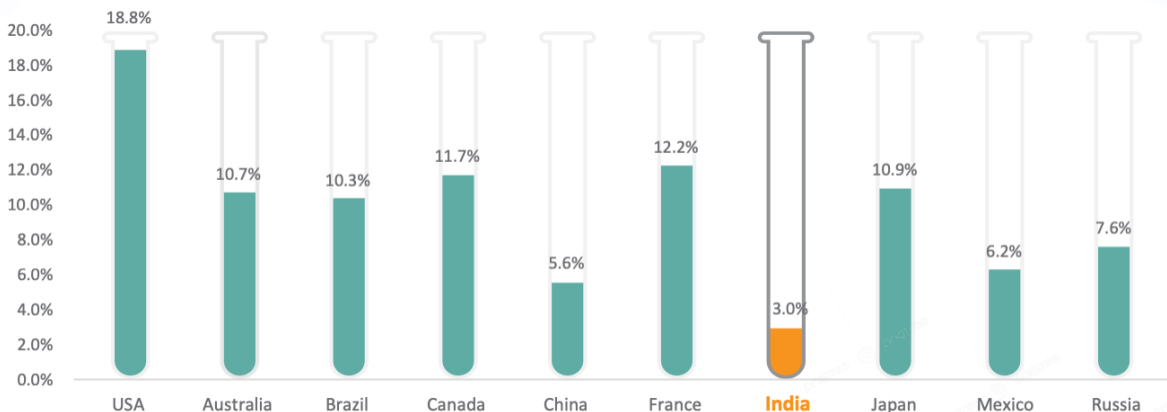
Executive Summary

- **Market Size & Growth:** India's healthcare sector is projected to reach **USD 638 billion by 2025**, driven by rising population, health awareness, and supportive government initiatives.
- **Economic Contribution:** The sector is a **major contributor to GDP and employment**, with workforce demand expected to grow significantly by 2030 to meet rising healthcare needs.
- **Sustained CAGR:** Over the past decade, the industry has delivered a **17.5% CAGR**, fuelled by innovation across hospitals, pharmaceuticals, diagnostics, and allied healthcare industries.
- **Hospital Industry Expansion:** The hospital market surged from **USD 62 billion in 2020 to USD 132 billion in 2023**, largely due to higher private spending during and after COVID-19.
- **Pharmaceutical Leadership:** India has established itself as a **global vaccine hub or Pharmacy of the World**, leads globally in generics, vaccines, and APIs, driven by its cost competitiveness, strong manufacturing base, and growing focus on innovation and biopharma.
- **Diagnostics Evolution:** The diagnostics segment has shifted towards **digital platforms and home testing kits**, with accelerated adoption post-pandemic.
- **Nutrition & Functional Foods:** The functional foods and personalized nutrition market is growing at **16% CAGR**, projected to reach **USD 12 billion by 2027**.
- **Wellness & Fitness Industry:** The fitness and wellness segment is among the fastest-growing, with a **27% CAGR**, expected to touch **USD 12 billion by 2025**.
- **Medical Devices Industry:** Valued at **USD 11 billion in 2020**, India's medical devices sector is growing at **15% CAGR**, with strong government push through the **PLI scheme** and increased domestic manufacturing.
- **Healthcare Analytics & Technology:** The adoption of **AI, big data, telemedicine, and digital health platforms** is accelerating, with India's healthcare IT market projected to cross **USD 50 billion by 2030**.
- **Government Support:** Initiatives like **Ayushman Bharat** and the **National Digital Health Mission (NDHM)** have boosted healthcare accessibility, affordability, and digital integration.
- **Infrastructure & Investment:** Large-scale investments in **hospitals, clinics, and medical colleges** are expanding infrastructure and strengthening capacity to serve India's growing healthcare demand.



Global Healthcare Sector

- **Global Health Spending:** Total healthcare expenditure reached **USD 10.5 trillion in 2025**, representing **11.2% of global GDP**, up from **USD 9 trillion (10.8% of GDP) in 2020**.
- **Funding Sources: Government funding** remains the largest contributor, accounting for **62–64% of total health expenditure**, broadly consistent with the **63% share in 2024**.
- **Private Spending: Private sources**, including **out-of-pocket expenses**, make up approximately **35–37% of global health spending**.
- **Per Capita Spending Growth:** Per capita government spending on healthcare has **increased across all income groups post-pandemic**, though the pace of growth differs by region and economic conditions.
- **High-Income Countries:** High-income economies continue to lead in per capita healthcare spending.
- **United States Leadership:** The **US spends the highest share of GDP on healthcare**, at **16.5 – 17%**, maintaining its position as the global leader in health expenditure.



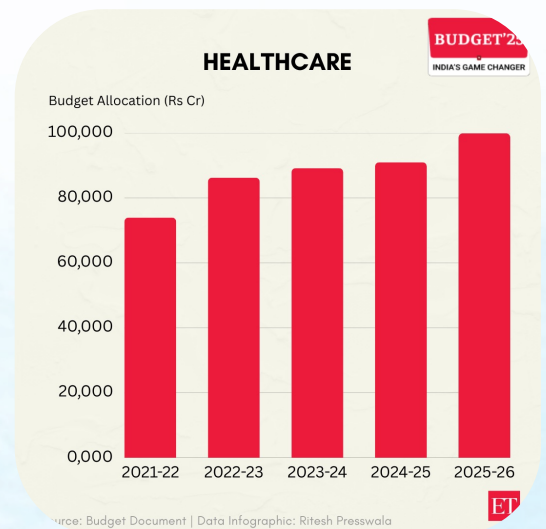
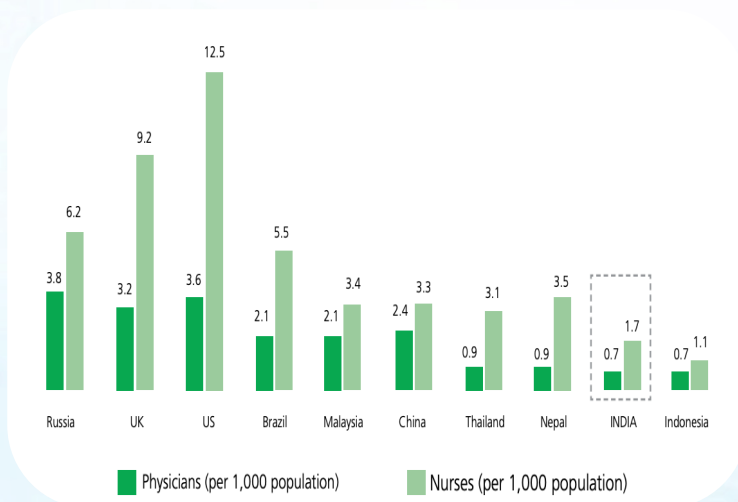
Source: World Bank, WHO

Healthcare Expenditure as % of GDP in CY 24



Healthcare Sector

- The overall economic development and rising population of the country has led the Healthcare sector to become amongst the largest sectors of the Indian economy, both in terms of revenue and employment.
- The Healthcare sector has been growing at a CAGR of 18% since 2016.
- The Healthcare Sector largely comprises the key segments of hospitals pharmaceuticals, diagnostics, medical devices and equipment, health insurance and medical tourism.
- In the Union Budget for 2025-26, the government has allocated 99,859 crore for developing, maintaining, and improving the country's healthcare system — 9.78% increase from 90,959 crore last year.
- India's healthcare sector, particularly hospitals, has witnessed a surge in foreign direct investment with inflows of \$1.5 billion in FY24. This represents a significant increase, more than doubling hospitals' share of FDI since FY21.
- As of 2024, the Indian healthcare sector is one of India's largest employers as it employs a total of 7.5 million people. Progress in telemedicine, virtual assistants, and data analytics is expected to create 2.7-3.5 million new tech jobs.



Overview of India's Healthcare Service Delivery Ecosystem

Hospitals

- **Government Hospitals:** Include healthcare centres, district hospitals, and general hospitals.
- **Private Hospitals:** Cover nursing homes, mid-tier, and top-tier private hospitals.

Medical Equipment and Supplies

- Comprises establishments focused on manufacturing medical devices and supplies such as surgical, dental, orthopedic, ophthalmologic, and laboratory instruments.

Medical Insurance

- Covers health insurance and reimbursement services for hospitalization and treatment expenses due to illness.

Medical Tourism

- India's medical tourism sector is significantly boosting the country's healthcare market and foreign exchange inflows by attracting international patients and promoting healthcare service exports.

Pharmaceutical Companies & Standalone Pharmacies

- Involves the manufacturing, extraction, processing, and packaging of chemicals for medications used in humans and animals.
- Includes both organized and unorganized standalone pharmacies.

Diagnostic Services

- Encompasses businesses and labs offering analytical or diagnostic services such as body fluid analysis.

Telemedicine Companies

- Telemedicine plays a key role in delivering healthcare to rural and remote areas.
- Also supports education, training, and management in the healthcare sector.

Retail in Healthcare

- Enables clinical service delivery beyond traditional hospital settings.
- Includes Primary Care Clinics, specialty birthing centers, dental clinics, daycare centers, diagnostic chains, and home healthcare formats.



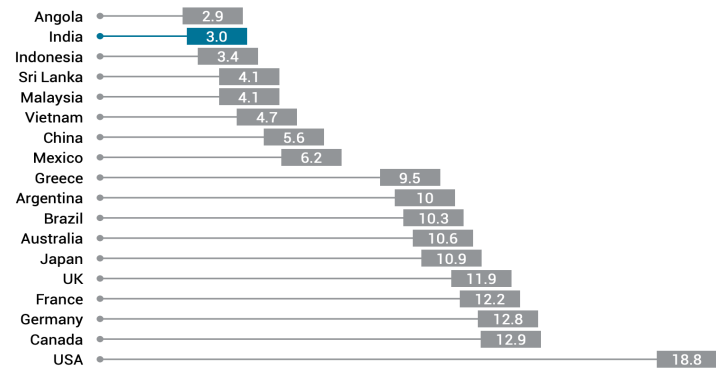
- ❖ **Rising Population & Demographics** : India's growing population and ageing demographic are increasing demand for healthcare services.
- ❖ **Income Growth & Urbanization** : Expanding middle class, rising disposable incomes, and lifestyle shifts are fuelling healthcare consumption.
- ❖ **Government Initiatives** : Schemes such as **Ayushman Bharat, National Digital Health Mission (NDHM)**, and PLI incentives for pharma/medical devices are strengthening accessibility and infrastructure.
- ❖ **Technological Advancements** : Adoption of **AI, telemedicine, digital health records, and diagnostic innovations** is reshaping healthcare delivery.
- ❖ **Private Sector Participation** : Strong investment inflows into hospitals, diagnostics, insurance, and medical devices are boosting capacity.
- ❖ **Medical Tourism Growth** : India's cost advantage, skilled doctors, and world-class hospitals make it a leading hub for global medical tourism.
- ❖ **Pharma & Biotech Leadership** : India's role as a **global vaccine and generic drug supplier** positions it strongly in global healthcare.
- ❖ **Health & Wellness Awareness** : Growing demand for **fitness, nutrition, and preventive healthcare** is broadening the sector beyond traditional medical care.

Key challenges

- ❖ **High Capital Intensity** : Hospitals, diagnostics networks, and medical device manufacturing require **large upfront investments** and have long gestation periods before delivering returns.
- ❖ **Regulatory Uncertainty** : Frequent policy changes on **drug pricing, medical device tariffs, insurance reimbursement rates, and FDI norms** can affect profitability and valuations.
- ❖ **Margin Pressures** : Competitive pricing, government caps (e.g., stents, implants, drugs), and rising costs of compliance can compress operating margins.
- ❖ **Fragmentation of the Market** : The sector remains **highly fragmented** with many regional players, making scalability and consolidation challenging.
- ❖ **Slow Insurance Penetration** : Despite Ayushman Bharat and private insurance growth, India's **low insurance penetration** means dependence on out-of-pocket spending, creating demand volatility.

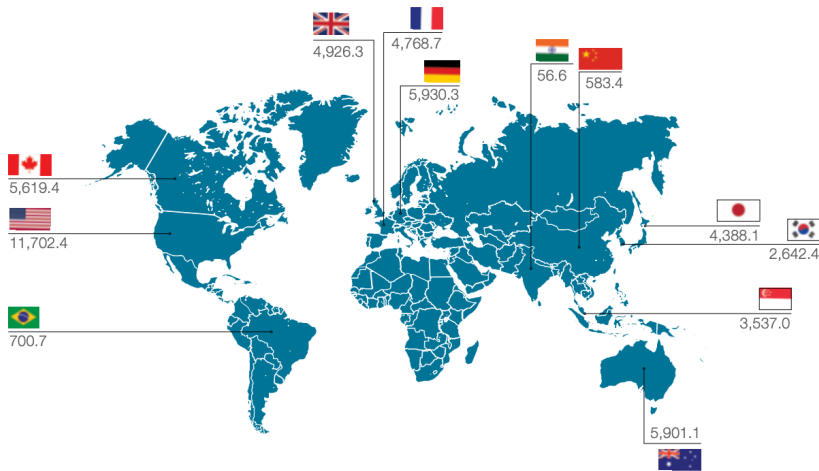


Total healthcare expenditure as % of GDP (2020)

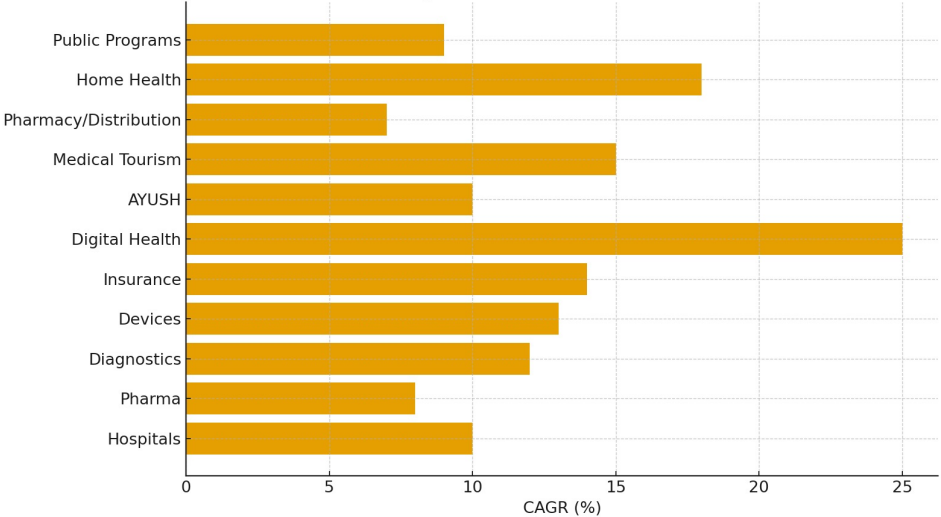


Source: Global Health Expenditure Database accessed in March 2023, World Health Organization; CRISIL MI&A Research

Per capita current expenditure on health in US\$ (2020)



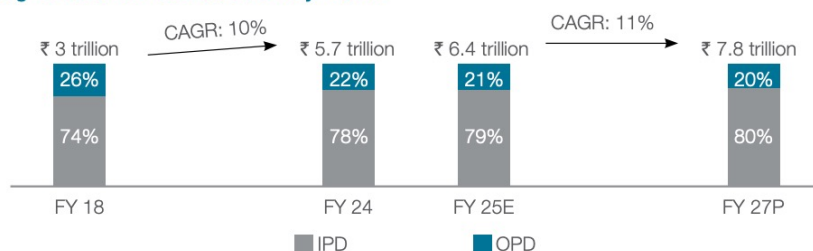
Sub-Industry Growth Outlook (CAGR 2025-2030)



Indian Hospital Industry

- **Market Size FY25:** By the end of FY25, the Indian healthcare delivery market is estimated at **₹6.3–6.5 trillion** (CRISIL MI&A Research).
- **Growth Drivers FY25:** Expansion is driven by **routine treatments, surgeries, outpatient department (OPD) services**, and increasing **Average Revenue Per Occupied Bed (ARPOB)**.
- **Medical Tourism Recovery:** Medical tourism has **surpassed pre-pandemic levels by FY24** and continues to contribute meaningfully to sectoral growth.
- **Market Composition:** Within healthcare delivery, the **in-patient department (IPD)** is projected to account for **~79% of market value**, while **OPD services** contribute the balance.
- **CAGR Outlook:** The sector is projected to grow at a **9–11% CAGR between FY25–FY27**, reaching **~₹7.8 trillion by FY27**.
- **Government Support:** Growth is reinforced by long-term structural factors, renewed focus on **PMJAY (Pradhan Mantri Jan Arogya Yojana)**, and heightened government investment in healthcare.
- **Public vs. Private Players:** Healthcare services are delivered by both public and private providers, but the sector is **dominated by private players** due to limited government spending and infrastructure constraints.
- **Private Sector Share:** The share of treatments by private providers is expected to rise from **60% in FY2018 to ~66% by FY2027**, with a temporary dip in FY2021, driven by **capacity expansion and greater reliance on private facilities**

Segmentation of healthcare delivery market



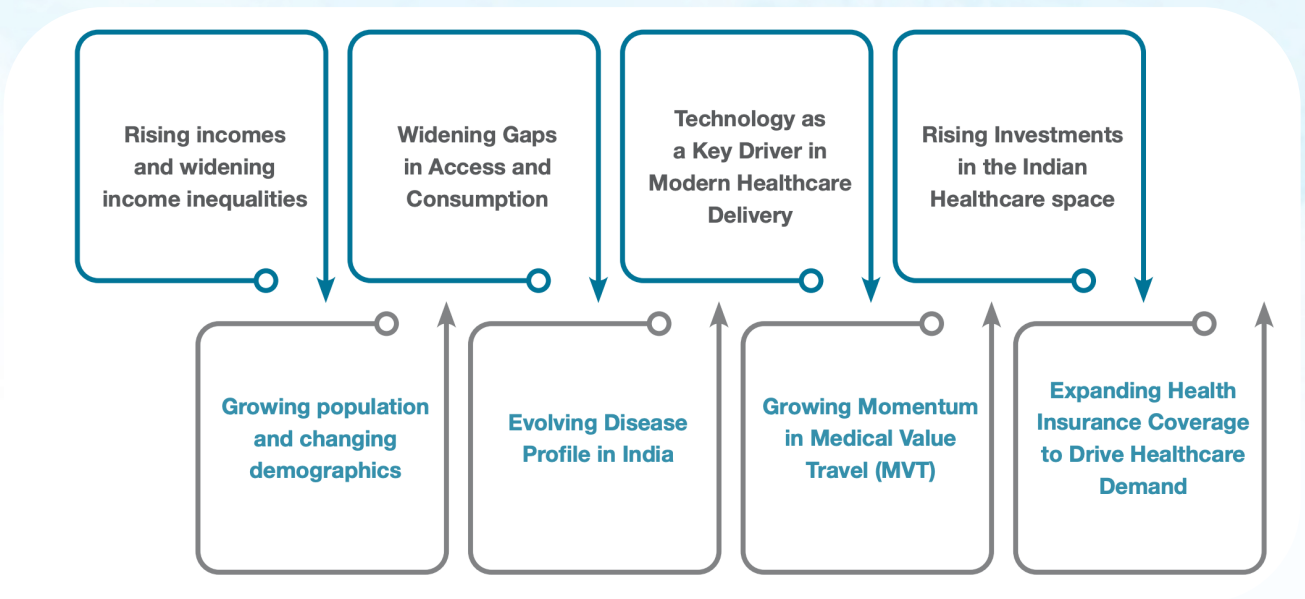
Note: IPD stands for in-patient department and OPD stands for out-patient department. According to CRISIL Research out-patients are those who are not required to stay at the hospital overnight. It includes consultancy, day surgeries at eye care centres, and diagnostics, and excludes pharmaceuticals purchased from standalone outlets.

Source: CRISIL Research

E : Estimates; P : Projections



Key Developments and Opportunities



- **Rising incomes and widening income inequalities:** India's economic growth and rising middle class are driving demand for quality healthcare, but income inequalities create sharp urban-rural disparities in access, shaping differentiated market opportunities.
- **Growing population and changing demographics :** India's shifting demographics—with a growing working-age population, rising life expectancy, and increasing senior citizens—are driving demand for modern, age-specific healthcare services and expanding health insurance coverage.
- **Widening Gaps in Access and Consumption:** Despite progress by public and private players, India continues to face inadequate infrastructure and inequitable access, leaving a large segment of the population under-served in healthcare.
- **Evolving Disease Profile in India:** Non-Communicable Diseases (NCDs) like heart disease, stroke, and diabetes are surging in India due to lifestyle factors, driving a \$5.4 trillion economic burden by 2030 and rising demand for healthcare, while the orthopaedics market—led by knee replacements—also shows significant growth potential.



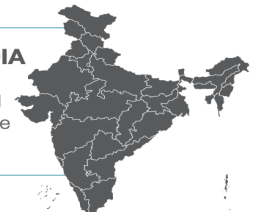
Key Developments and Opportunities

- **Technology as a Key Driver in Modern Healthcare Delivery :** India's healthcare industry is rapidly transforming with advanced treatments, robotics, AI, telemedicine, and digital tools, driving personalized care, efficiency, and growth in areas like online pharmacies and retail health, supported by rising mobile penetration and a modern middle class.
- **Growing Momentum in Medical Value Travel (MVT) :** India has become a leading hub for medical tourism, offering affordable, high-quality treatments, advanced hospitals, and holistic therapies like Ayurveda, supported by government initiatives such as e-medical visas and wellness boards; despite setbacks from COVID-19 and reduced inflow from Bangladesh, the sector is rebounding strongly with ~15% growth projected in 2024.
- **Rising Investments in the Indian Healthcare space :** India's healthcare sector is expanding rapidly, supported by strong demand, policy reforms, and rising private equity/FDI inflows, with landmark deals like GIC's \$150M in Asia Healthcare Holdings, KKR's \$839M Healthium MedTech acquisition, and EQT's \$850M GeBBS deal highlighting robust investor confidence and long-term growth potential.
- **Expanding Health Insurance Coverage to Drive Healthcare Demand :** Low health insurance penetration in India (41% in FY24 despite covering 573M lives) remains a major challenge but also a growth opportunity, with government schemes like PM-JAY driving expansion, and rising coverage expected to boost hospitalisation rates, mandatory health check-ups, and overall demand for quality healthcare delivery infrastructure.

"Heal in India": India's Push to become a Global hub for Medical and Wellness Tourism:

The Government of India has launched 'Heal in India' initiative to provide a boost to medical tourism in the country. As part of this initiative, the Ministry of Health and Family Welfare (MoHFW) has introduced the Medical Value Travel Digital Portal, to assist foreign patients seeking treatment in India. Medical Value Travel refers to activities involving the travel and accommodation of international tourists for medical purposes, aimed at maintaining, improving, or restoring health through medical intervention.

HEAL IN INDIA
Initiative, aims to promote Medical Value Travel in the Country.



Key Challenges

➤ Regulatory Scrutiny & Margin Pressure

- Rising healthcare costs have led to greater regulatory intervention.
- Measures like **margin capping and tariff controls** in hospitals and diagnostics could affect service offerings, revenue mix, and operational parameters.

➤ Rising Competitive Intensity

- Strong growth fundamentals have attracted **large private, foreign, and Indian conglomerate investments**.
- Expansion of regional and pan-India players has increased competition, potentially pressuring **financial and operational performance**.

➤ Talent Shortage

- Limited availability of qualified doctors, nurses, and other healthcare professionals.
- Shortage of clinical talent impacts **quality of care and long-term sustainability** of healthcare systems.

➤ Expanding Health Insurance Coverage

- Broader insurance penetration is expected to **boost healthcare demand**.
- However, this may also heighten **cost pressures and compliance challenges** for hospitals.

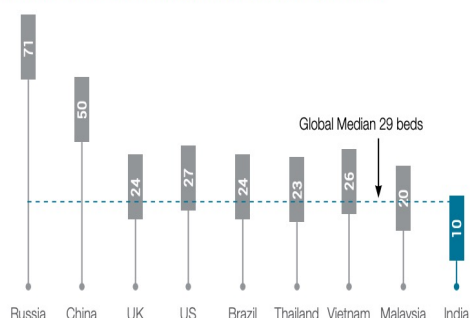


Affordable And Quality Treatment Makes India A Favoured Destination

Ailments (US\$)	USA	Korea	Singapore	Thailand	India
Hip Replacement	50,000	14,120	12,000	7,879	7,000
Knee Replacement	50,000	19,800	13,000	12,297	6,200
Heart Bypass	144,000	28,900	18,500	15,121	5,200
Angioplasty	57,000	15,200	13,000	3,788	3,300
Heart valve replacement	170,000	43,500	12,500	21,212	5,500
Dental Implant	2,800	4,200	1,500	3,636	1,000

Source: CRISIL

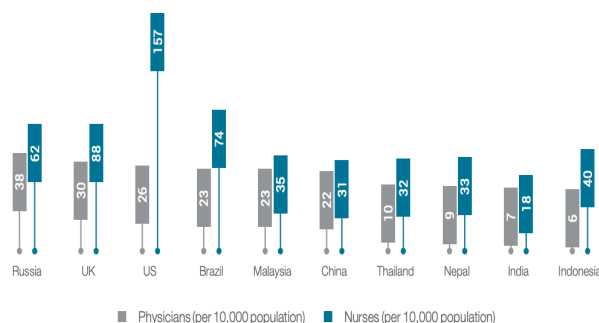
Bed densities across countries - hospital beds (per 10,000 population)



Source: India bed density is estimated by CRISIL Research, Data pertains to 2020

Source: World Health Organisation Database, CRISIL Research

Healthcare Personnel - India compared to other countries.

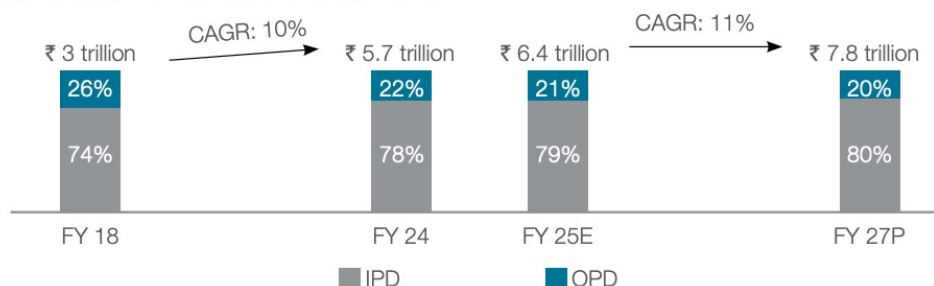


Source: WHO World Health Statistics 2022

Physicians (per 10,000 population)
CY 2012-CY 2020

Nurses (per 10,000 population)
CY 2012-CY 2020

Segmentation of healthcare delivery market



Note: IPD stands for in-patient department and OPD stands for out-patient department. According to CRISIL Research out-patients are those who are not required to stay at the hospital overnight. It includes consultancy, day surgeries at eye care centres, and diagnostics, and excludes pharmaceuticals purchased from standalone outlets.

Source: CRISIL Research

E : Estimates; P : Projections



Deals In Hospital Segment - PE Deal

Date	Target	Buyer/Investor	Stake (%)	Amount (INR in MN)	Enterprise Value (INR in MN)	EV/ Revenue Multiple	EV/ EBITDA Multiple
Jun-23	HealthCare Global Enterprises Limited	CVC Capital Partners	3%	1,140	5,027	0.3	1.7
Apr-23	Manipal Hospitals	Temasek	41%	1,64,380	4,19,049	10.3	40.7
Jan-23	Mumbai Oncocare Center	Tata Capital Healthcare Fund	NA	749	NA	NA	NA
Nov-22	Sukoon Healthcare	Lightrock India	61%	1,236	799	9.6	88.7
Sep-22	KIMS Hospital	ChrysCapital	2%	1,931	98,237	6.3	46.3
Aug-22	Sahyadri Hospitals	Ontario Teachers' Pension Plan	NA	25,000	26,102	3.6	16.3
Jun-22	HealthCare Global Enterprises Limited	CVC Capital Partners	1%	500	43,990	3.2	24.7
Jun-22	Sterling Hospitals	Arpwood Partners, Somerset Indus Capital Partners, Siguler Guff, Others	93%	6,500	8,172	1.6	8.7
Apr-22	Ayu Health	Fundamentum, Alteria Capital, Capier Investments, Stellaris Venture Partners, Vertex, Others	26%	1,633	4,553	NA	NA
Feb-22	Asia Healthcare Holdings	GIC	NA	13,000	NA	NA	NA
Dec-21	Nephroplus	InvestCorp Group, IIFL AMC, Bessemer, Others	9%	1,817	18,105	6.2	43.0
Oct-21	Marengo Asia Healthcare	Havells Family Office, Godrej Family Office, Samara Capital, Others	90%	7,685	2,270	1.5	23.5
Jun-21	KIMS Hospital	ICICI Venture	3%	1,600	63,875	4.8	16.8
Mar-21	HealthCare Global Enterprises Limited	CVC Capital Partners	3%	866	31,841	2.9	19.1
Mar-21	Manipal Hospitals	NIIF	8%	21,000	2,68,273	12.2	58.5
Feb-21	Manipal Hospitals	TPG Capital, Temasek, Others	9%	11,368	NA	NA	NA
Jan-21	DCDC Health Services	IFU, ADB	NA	1,500	2,125	3.7	25.5
Jun-20	HealthCare Global Enterprises Limited	CVC Capital Partners	53%	9,636	17,965	1.6	10.8
Mar-20	Saket City Hospitals	KKR	43%	4,870	NA	NA	NA



Beneficiaries

Small & Mid Cap

No.	Company		Market cap(Cr.)	Face Value
1	Aster DM Heathcare Ltd		32,263	10
2	Yatharth Hospital & Trauma Care Services Ltd		7531	10
3	Healthcare Global Enterprises Ltd	 The Specialist in Cancer Care adding life to years	9589	10

Large Cap Stocks

No.	Company		Market cap(Cr.)	Face Value
1	Apollo Hospitals Ltd		112389	5
2	Max Healthcare Ltd		114276	10
3	Fortis Healthcare Ltd		73808	10



Indian Pharmaceutical Industry

➤ Market Size FY25

The Indian pharmaceutical market is estimated at **USD 58–60 billion in FY25**, with a strong trajectory towards **USD 129+ billion by 2032**.

➤ Growth Drivers FY25

Expansion is supported by **domestic demand for generics**, rising **exports to over 200 countries**, and increasing focus on **complex generics, biosimilars, and vaccines**.

➤ Global Leadership

India continues to be recognized as the **“Pharmacy of the World”**, being the **largest supplier of generics globally** and home to the **highest number of US FDA-approved plants outside the US**.

➤ CAGR Outlook

The sector is projected to grow at a **9–11% CAGR between FY25–FY30**, driven by both **domestic consumption** and **global market expansion**.

➤ Government Support

Policies such as the **PLI (Production Linked Incentive) scheme**, focus on **self-reliance in APIs**, and incentives for **R&D and biotech innovation** are boosting growth.

➤ Market Composition

Generics form the bulk of exports, while **specialty drugs, biologics, and vaccines** are gaining increasing market share. Preventive healthcare and **affordable medicines** are expanding faster than curative segments.

➤ Public vs. Private Players

The sector is largely **dominated by private pharmaceutical companies**, with government contribution focused on **policy, regulation, and affordable drug distribution**.

➤ Private Sector Share & Expansion

Indian pharma players are expanding aggressively through **capacity expansion, acquisitions, and entry into new therapeutic areas**, with exports expected to account for nearly **40%+ of revenues by FY27**.



Indian pharma divisions

- **Generic Drug Manufacturers** : Produce off-patent medicines with an emphasis on affordability and volume
- **Branded Generic Companies** : Market generic drugs under brand names, combining brand loyalty with cost advantage.
- **Specialty Pharma Companies**: Focus on niche segments such as oncology, biotech, or rare diseases with innovative drug delivery systems
- **API Manufacturers**: Manufacture active ingredients used to make pharmaceutical formulations
- **CMOs/CRDMOs** : Provide third-party manufacturing and research services to other pharma companies, supporting innovation and scale
- **Biotech Companies**: Develop biosimilars, vaccines, and advanced therapies.

Pharma Type	Market Size (2025)	CAGR (2025–2030/33)	Comments
Generic Drug Manufacturers	USD 26.31 - 28 Billion	6.1% - 7%	Largest volume segment; major driver of exports
Branded Generics	Major portion of domestic market	8-10% (approx.)	Dominant in prescription market, pricing power varies
Specialty Pharma	USD 3-5 Billion (approx.)	10-12% (projected)	Growing niche segment: oncology, biologics, bottles
API Manufacturers	USD 8-10 Billion	9-11%	Critical for supply chain security and exports
CRDMO	Estimated USD 2-4 Billion (growing)	10-15%	Service oriented; supports global pharma R&D
Biotech Companies	USD 1-3 Billion	15%	Emerging space; focus on biosimilars, vaccines, advanced therapies

Key Developments and Opportunities

The global pharmaceutical industry witnessed a transformative phase in the past year, driven by scientific breakthroughs, demographic shifts, evolving patient needs and rapid digitalisation. Amidst evolving global health demands and economic pressures, the industry strengthened its foundation for long-term growth while adapting to structural changes across regions and therapeutic segments

➤ Generic Drug Manufacturers

Global Market Leadership: India supplies **~20% of global generics by volume**, with exports to over **200 countries**.

Cost Advantage: Competitive manufacturing base and skilled workforce keep costs significantly lower than Western counterparts.

Opportunities: Growing demand in the US, EU, Africa, and Latin America as governments push **Affordable healthcare solutions**.

Expansion: Indian firms are increasingly **moving into complex generics** (inhalers, injectables, sustained-release drugs) to maintain margins.

➤ Branded Generics

Domestic Growth Driver: Branded generics account for **70–80% of India's pharma market by value**.

Patient Trust: Strong doctor-pharma relationships and brand loyalty drive prescriptions in Tier 1 & 2 cities.

Opportunities: Rising **middle-class incomes** and health awareness boost branded generic demand.

Developments: Companies are expanding **distribution in Tier 3/4 cities** and rural areas, where affordability is key.

➤ Specialty Pharma

Shift to Niche Segments: Indian pharma is diversifying into **oncology, dermatology, cardiology, ophthalmology, and neurology drugs**.

High Margins: Specialty drugs offer better profitability compared to pure generics.

Developments: Partnerships with **global pharma MNCs** for co-development and in-licensing opportunities.

Opportunities: Growing domestic demand for **advanced therapies** with increasing incidence of cancer, diabetes, and lifestyle diseases.



➤ API (Active Pharmaceutical Ingredients) Manufacturers

Self-Reliance Push: India aims to **reduce API import dependence on China** (currently ~60%).

PLI Incentives: The government is offering **financial support for API & KSM (Key Starting Materials) production**.

Developments: Many Indian players are setting up **greenfield API plants** under “Make in India.”

Opportunities: Global supply chain diversification is pushing Western countries to **source APIs from India**.

➤ CRDMO (Contract Research, Development & Manufacturing Organizations)

Rising Global Outsourcing: Big pharma increasingly outsourcing **drug discovery, trials, and manufacturing** to India due to cost efficiency.

Strength in Chemistry & Biology: Indian CRDMOs are gaining traction in **complex molecule development**.

Developments: Indian CRDMOs expanding **end-to-end integrated solutions** (from discovery to commercial manufacturing).

Opportunities: Strong demand from **biotech startups worldwide** seeking low-cost R&D and faster go-to-market strategies.

➤ Biotech Companies

Emerging Growth Area: Focus on **biosimilars, vaccines, monoclonal antibodies, and gene therapy research**.

Global Recognition: India played a central role in **COVID-19 vaccine development and supply**.

Developments: Large Indian players investing in **cell & gene therapies, mRNA platforms, and personalized medicine**.

Opportunities: By 2030, India’s **biologics and biosimilars market** is expected to touch **USD 12–15 billion**, driven by domestic and export demand.



Key challenges

➤ Pricing & Margin Pressures

Intense competition in **generics** has led to heavy price erosion, especially in the **US market** (India's largest export destination). Regulatory interventions like **price caps on essential drugs** (NPPA in India, Medicaid/Medicare in US) squeeze margins. Rising input costs (APIs, logistics, energy) further pressure profitability.

➤ Regulatory & Compliance Risks

Frequent **USFDA/EMA inspections** and warning letters impact export approvals. Stringent global quality standards require continuous investment in **compliance, documentation, and audits**. Delays in product approvals can affect go-to-market timelines.

➤ Dependence on China for APIs

India still imports **~60–65% of APIs** from China, exposing the sector to **geopolitical and supply chain risks**. Raw material price volatility and disruptions (like during COVID) affect stability.

➤ Innovation & R&D Challenges

While India is strong in generics, **limited innovation in NCEs (New Chemical Entities)** reduces global competitiveness. High cost and long gestation period of innovative drug development is a barrier. Underinvestment in **biotech, biologics, and advanced therapies** compared to global peers.

➤ Talent & Infrastructure Gaps

Shortage of **specialized talent** in biotech, CRDMO, and complex drug research. Limited **advanced lab infrastructure and testing facilities** in Tier-2/Tier-3 pharma hubs.

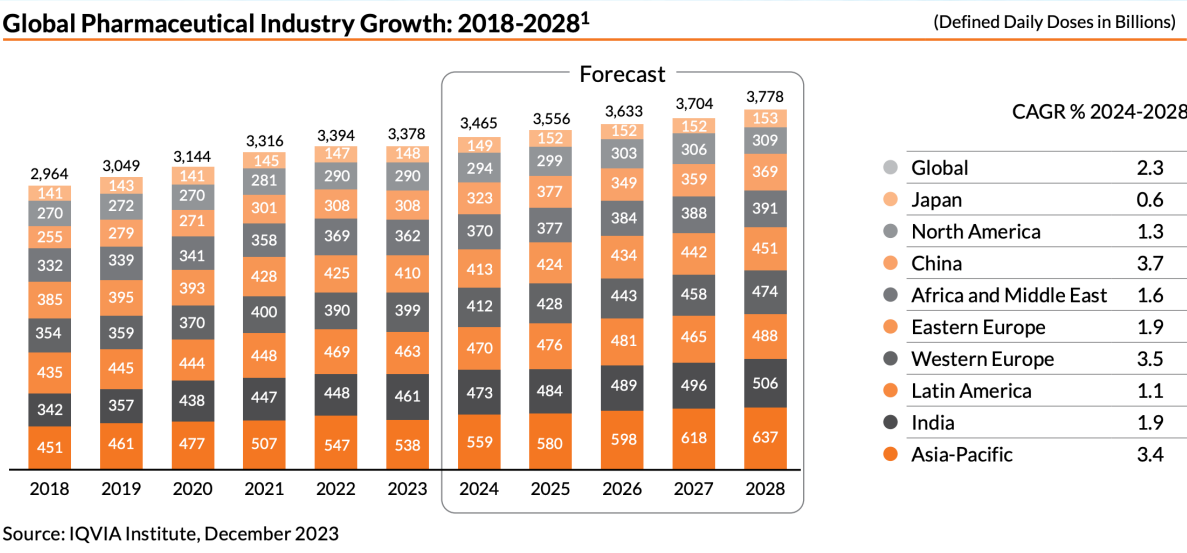
➤ Competitive Intensity

Increasing number of players in **domestic branded generics** leading to fragmentation. Entry of **large conglomerates and global pharma firms** heightens competitive pressures.

➤ IP (Intellectual Property) & Legal Risks

Patent disputes with global MNCs can delay product launches. Weak IP protection in certain segments affects **innovation incentives**.





CAGR % 2024-2028

Global

2.3

Japan

0.6

North America

1.3

China

3.7

Africa and Middle East

1.6

Eastern Europe

1.9

Western Europe

3.5

Latin America

1.1

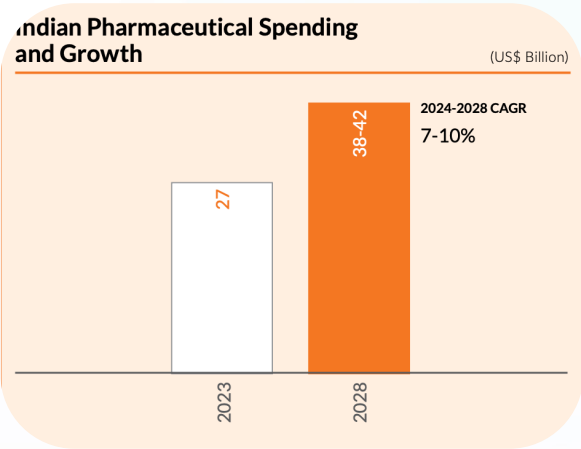
India

1.9

Asia-Pacific

3.4

Source: IQVIA Institute, December 2023



Beneficiaries

Sub-Industry	Large-Cap	Mid-Cap	Small-Cap
Generic Drug Manufacturers	1. Sun Pharma 2. Dr. Reddy's 3. Cipla 4. Aurobindo Pharma 5. Torrent Pharma	1. Alembic Pharma 2. Granules India 3. Natco Pharma 4. Alkem Labs	1. Indoco Remedies 2. Panacea Biotec
Branded Generics	1. Mankind Pharma 2. Zydus Lifesciences 3. Cipla 4. Torrent Pharma	1. Alembic Pharma 2. Alkem Labs	1. Indoco Remedies 2. Panacea Biotec
Specialty Pharma	1. Gland Pharma 2. Biocon 3. Lupin	1. Piramal Pharma 2. Jubilant Pharmova	1. Hester Biosciences 2. Caplin Point Labs
API Manufacturers	1. Divi's Laboratories 2. Laurus Labs 3. Aurobindo Pharma	1. Granules India 2. Natco Pharma 3. Neuland Labs	1. Shilpa Medicare 2. Indoco Remedies
CRDMO / CDMO	1. Divi's Laboratories 2. Gland Pharma	1. Jubilant Pharmova 2. Piramal Pharma 3. Cohance Lifescience Ltd	1. Suven Pharma, Neuland Labs 2. Bluejet Healthcare Ltd 3. Sai life science Ltd.
Biotech Companies	1. Biocon, 2. Zydus Lifesciences	1. Syngene International 2. Hester Biosciences	1. Panacea Biotec, Shilpa Medicare



Indian Diagnostics & Pathology Industry

Market Size & Growth

- The Indian diagnostics market was valued at **₹860–870 billion in FY'24**.
- It is projected to reach **₹1,275–1,375 billion by FY'28**, reflecting a CAGR of **~8–10% during 2025–2030**.

Growth Drivers

- Rising **chronic disease burden** (diabetes, cardiovascular, cancer).
- Increased **health awareness and preventive care adoption**.
- Expanding **disposable incomes and growing population**.
- Rapid **digitization** and improved access in both **urban and rural areas**.

Role in Healthcare System

- Diagnostics form a **critical backbone of healthcare**, enabling **early disease detection, accurate treatment planning, and preventive health solutions**.

Government & Policy Support

- Schemes like the **Production Linked Incentive (PLI)** for medical devices/diagnostics.
- Growing **foreign direct investment (FDI)** inflows strengthening infrastructure and quality standards.

Technological Advancements

- Adoption of **digital diagnostics, AI-driven pathology, and portable testing devices** is enhancing efficiency.
- Home sample collection and **tele-diagnostics platforms** are gaining popularity.



Indian Diagnostics & Pathology Industry

Market Segmentation (Source: CRISIL)

- **Pathology:** Accounts for **56%** of the market (biochemical, microbiological, molecular testing).
- **Radiology:** Accounts for **44%** (X-rays, CT scans, MRIs, ultrasound, advanced imaging).

Preventive Diagnostics Growth

- Preventive diagnostics are growing **faster than curative services**, as consumers proactively adopt **annual health check-ups, lifestyle screening, and wellness packages**.
- Estimated growth in preventive diagnostics: **12–14% CAGR over the next 5 years**, outpacing the overall industry.

Private Sector & Investments

- Rising participation of **large diagnostic chains** (Dr. Lal PathLabs, Metropolis, Thyrocare) alongside **emerging regional players**.
- Consolidation trend: mid-sized labs merging with larger networks to **capture economies of scale**.

Digital Transformation

Online health platforms, AI-based image analysis, and **cloud-based patient data systems** are enhancing accessibility and turnaround times.

Future Outlook

- By FY'30, the Indian diagnostics industry is expected to **cross ₹2 trillion**, driven by preventive healthcare, digital adoption, and rising penetration in Tier-2/3 cities and rural areas.



Emerging Trends in the Diagnostics Sector

The diagnostics industry is undergoing significant transformations with advancements that will redefine disease detection and management. Key trends shaping the sector include:

- **Population growth:** India, now the world's most populous country, is expected to retain this Position throughout the century. This demographic shift will drive demand for diagnostics, preventive care, and chronic disease management, supporting strong growth in the diagnostic industry.
- **Growing geriatric population :** India's ageing population is set to rise sharply by 2036, driving higher demand for diagnostics in chronic disease management, preventive care, and elderly-focused testing.
- **Healthcare infrastructure:** With higher healthcare allocations in Budget 2025-26, India's hospital bed capacity is expected to grow at a 7.99% CAGR by 2030, boosting diagnostic centres' ability to meet rising patient needs.
- **Growth in medical education capacity :** The Indian government has proposed to add more medical seats across medical colleges and hospitals. In the coming years, this will result in and Increased number of trained healthcare professionals available to offer quality diagnostic service.
- **Diagnostic intensity :** In Tier 2, 3, and 4 towns, people are increasingly choosing to undergo diagnostic testing before starting any medication. This shows a shift in healthcare behaviour, where individuals now prefer to understand their health conditions through proper tests first and then follow treatment based on accurate reports.

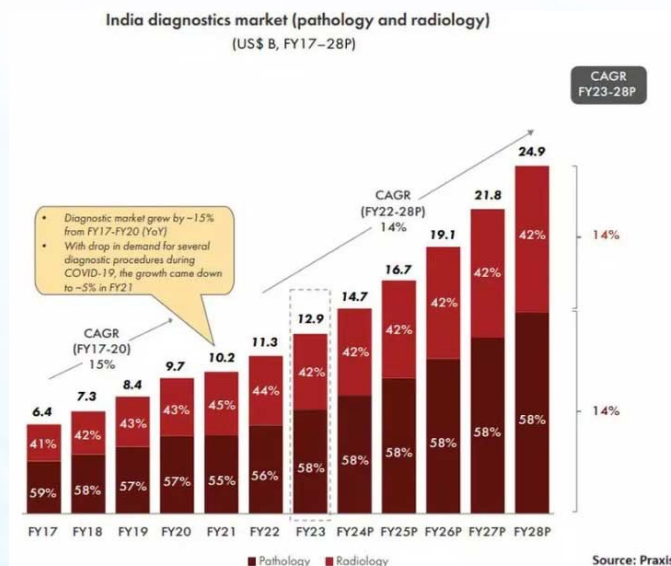
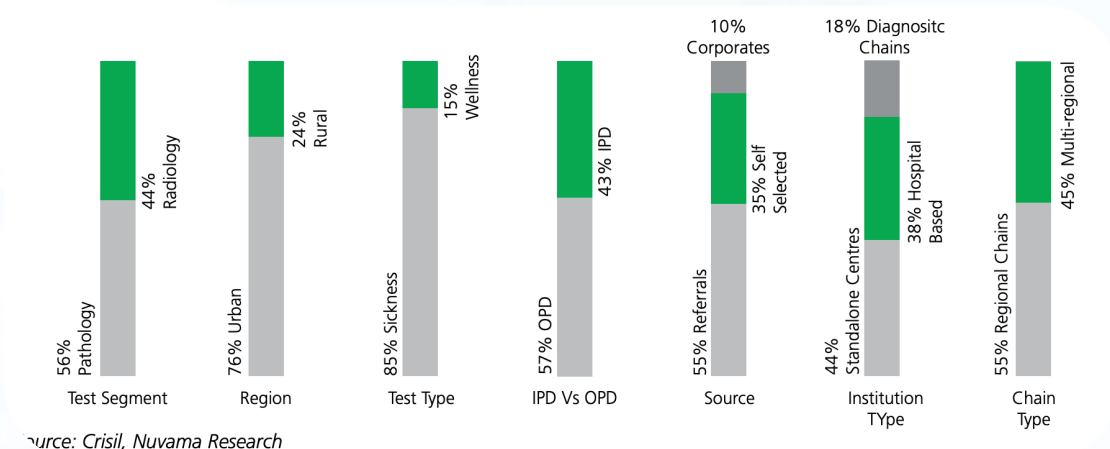
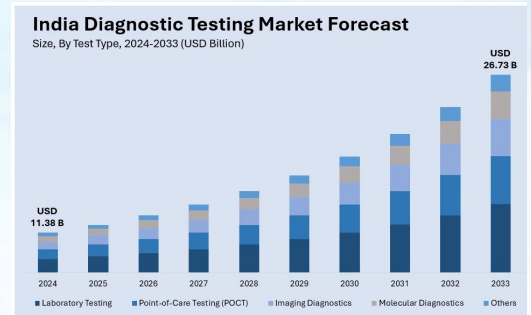
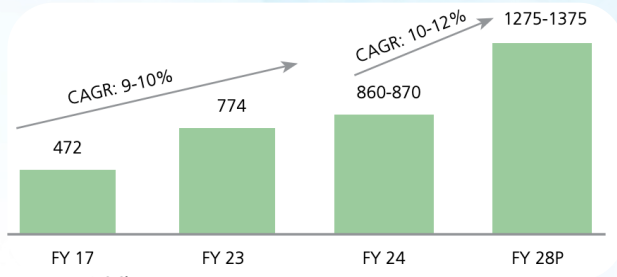


Key challenges

- **Price Sensitivity** – The Indian diagnostic market is highly price-driven, with patients often opting for low-cost services. This creates pressure on organized players to balance affordability with quality.
- **Regulatory Gaps** – The industry lacks uniform national regulations, leading to inconsistent standards in quality, accreditation, and reporting practices across diagnostic centres.
- **Skilled Workforce Shortage** – There is a significant gap in the availability of qualified pathologists, radiologists, and technicians, affecting the efficiency and accuracy of diagnostic services.
- **Infrastructure Constraints** – While urban centres are well-served, diagnostic infrastructure in tier-2, tier-3 cities, and rural areas remains underdeveloped, limiting access to timely care.
- **Technological Adoption** – Advanced diagnostic technologies require high capital investment, restricting smaller players from adopting them and slowing innovation across the industry.
- **Fragmented Market** – The sector is dominated by unorganized local labs, making it difficult to maintain standardization, trust, and scalability across the industry.



Story in charts



Beneficiaries

No.	Company		Market cap(Cr.)	Face Value
1	Dr Lal path labs Ltd		27630	10
2	Metropolis Healthcare Ltd		10473	2
3	Vijaya Diagnostic Centre Ltd		10778	1
4	Krsnna Diagnostics Ltd		2741	5



INDIAN HEALTH INSURANCE SECTOR

Industry Overview

- Health is a major factor that affects the economy of densely populated countries like India.
- According to the Insurance Regulatory and Development Authority of India (IRDAI), approximately 573 million individuals in India had health insurance coverage in FY 2024, a significant rise from 288 million in FY 2015.
- Despite this growth, overall insurance penetration remained modest at 40–42% in FY 2024. This figure is projected to increase to 45–50% by FY 2026.
- Health insurance is emerging as a key driver of growth in the healthcare sector. As coverage expands, with an estimated 45–50% of the population expected to be insured by FY 2026, access to quality healthcare is likely to improve, driving greater demand for medical services.
- As per the IMARC Group, India's health insurance market was valued at USD 145.0 billion in 2024 and is expected to grow to USD 308.0 billion by 2033, registering a CAGR of 8.70% from 2025 to 2033.
- Growth is being driven by rising medical costs, the increasing prevalence of lifestyle-related diseases, heightened awareness and strong performance in regions like North and South India.
- These areas benefit from superior healthcare infrastructure, broader corporate coverage, rising insurance penetration, supportive government initiatives and growing digital adoption.
- Health insurance dominates the non-life insurance sector, though growth has moderated after the 1/n rule.
- Standalone Health Insurers (SAHIs) expanded market share from 35.3% in FY23 to 38.6% in FY25, consistently outperforming the broader segment.
- Premium growth remained strong, rising from ₹90,668 crore in FY23 → ₹1,09,007 crore in FY24 (20.2% YoY) → ₹1,18,688 crore in FY25 (8.9% YoY).



Primary Growth Factors in Health Insurance

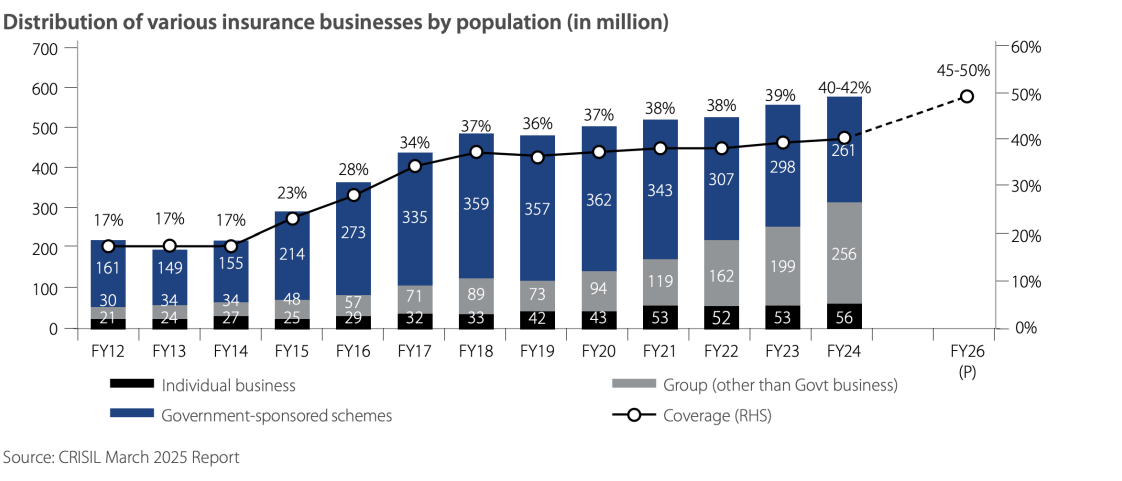
- **Low Penetration vs Global Average** – India's insurance penetration (4.2% peak during pandemic) remains below the global average of 7%, highlighting significant headroom for growth.
- **Rising Health Awareness & Costs** – Escalating medical expenses, lifestyle diseases, and out-of-pocket spending (>60%) drive urgent need for wider health insurance adoption.
- **Technology & Distribution Shift** – Tech-led innovations, blended digital + traditional channels, and customer-friendly claims processes are reshaping accessibility and efficiency.
- **Expanding Reach** – Growth driven by strategic partnerships, government collaboration, and deeper penetration into Tier-2 & Tier-3 cities with customised hospital pricing models.
- **Product Innovation & Affordability** – Micro-insurance, long-term savings-linked policies, group plans, and tax incentives aim to boost affordability and inclusivity across segments.
- **Progressive IRDAI Reforms** – Key regulations include:
 - No upper age limit for policies,
 - Reduced waiting period for pre-existing diseases (3 years),
 - Standardised waiting period for specific treatments,
 - Coverage for critical illnesses,
 - Shorter moratorium period (5 years).
- **Government Role** – Central and state health insurance schemes continue to expand equitable access, especially for lower-income groups, strengthening social security.



Key challenges

- **Slower Penetration Growth** : Despite rising awareness, India's insurance penetration is still below global averages, limiting near-term scalability.
- **Margin Pressure from Regulation** : Regulatory moves like premium caps, standardisation of products, and stricter claim rules may squeeze profitability and reduce pricing flexibility.
- **Rising Competition & Fragmentation** : Entry of new private players, fintechs, and global insurers increases competitive intensity, pressuring margins and customer retention.
- **High Acquisition & Distribution Costs** : Heavy reliance on agents, bancassurance, and digital channels inflates customer acquisition costs, impacting profitability.
- **Fraud, Mispricing & Claim Risks** : Fraudulent claims, weak underwriting in rural/semi-urban markets, and adverse selection raise loss ratios, affecting returns.
- **Uneven Market Access** : Growth is skewed towards urban and affluent customers; rural and low-income penetration remains weak, delaying scale benefits.
- **Capital Intensity & Long Payback Cycles** : The sector requires significant upfront investment in distribution networks, technology, and solvency requirements, with long gestation before meaningful returns.





Beneficiaries

No.	Company	Market cap(Cr.)	Face Value
1	Star Health & Allied Insurance Company Ltd 	26,196	10
2	Niva Bupa Health Insurance Company Ltd 	15,098	10
3	ICICI Lombard General Insurance Company Ltd 	94,596	10
4	New India Assurance Company Ltd 	31,881	5



Indian

Medical Devices Industry – A Sunrise Industry

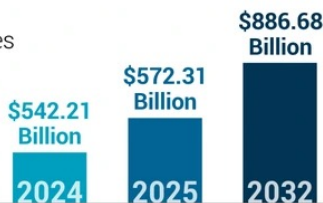
- The medical device industry is a diverse and dynamic sector.
- This dynamic nature of the sector stems from continuous technological advancements, evolving healthcare needs, and stringent regulatory frameworks that drive constant innovation.
- The Global Medical Device market was valued **at USD 542.21 billion** in 2024 and is projected to grow significantly over the next several years. By 2032, the market is expected to reach **USD 883.68 billion**, reflecting a compound annual growth rate (CAGR) of 6.3%.
- The Indian medical device market, currently valued at **USD 15.33 billion**, is on a strong growth trajectory and is projected to reach approximately **USD 50 billion** over the next decade.
- India is undergoing a transformative shift in its med-tech landscape, with a strong focus on expanding its presence in global markets. The country is steadily emerging as a key exporter of high-quality, affordable medical devices, backed by robust manufacturing capabilities and a skilled workforce.



MEDICAL DEVICES MARKET

FORTUNE
BUSINESS INSIGHTS

Medical Devices
Market to
grow at
6.5%
CAGR during
2025-2032



BY TYPE

In-vitro Diagnostic (IVD) : 13.6%
Ophthalmic Devices | Wound Management
Nephrology Devices | General Surgery
Orthopedic Devices | Dental Devices
Minimally Invasive Surgery Devices
Diagnostic Imaging Devices
Cardiovascular Devices
Diabetes Care Devices
Others

NORTH AMERICA



\$197.83 Billion
2023

\$207.00 Billion
2024

Latin America | Asia Pacific
Europe | Middle East & Africa



DRIVERS

Increasing Prevalence of Chronic
Diseases Among Patients



TRENDS

Increasing Preferential Shift Toward
Wearable Devices Among Population



BY END-USER

Hospitals & ASCs
Clinics | Others



INDUSTRY DEVELOPMENT

Fresenius Medical Care AG received the U.S. FDA
clearance for its 5008X Hemodialysis System.



3rd Floor, National Pearl Star, Behind
Changampuzha Park Metro Station,
Edappally, Kochi, Kerala, 682024



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India's MedTech industry is positioned for transformational growth towards 2030.

- **Disease trends:** Rising burden of non-communicable diseases (NCDs) is reshaping healthcare demand.
- **Preventive & digital focus:** Growing emphasis on preventive care and adoption of digital health solutions is fueling MedTech innovation.
- **Demographic shift:** A growing and aging population is increasing demand for advanced healthcare and diagnostics.
- **Socioeconomic drivers:** Rising income levels, greater health awareness, and expanding insurance coverage are boosting healthcare access.
- **Ecosystem enablers:** Policy support, local manufacturing incentives, and increased R&D are strengthening the MedTech landscape.
- **Collaborative innovation:** Stronger partnerships among startups, academia, and industry are unlocking opportunities, positioning India as a future global MedTech hub.



Challenges That Lie Ahead

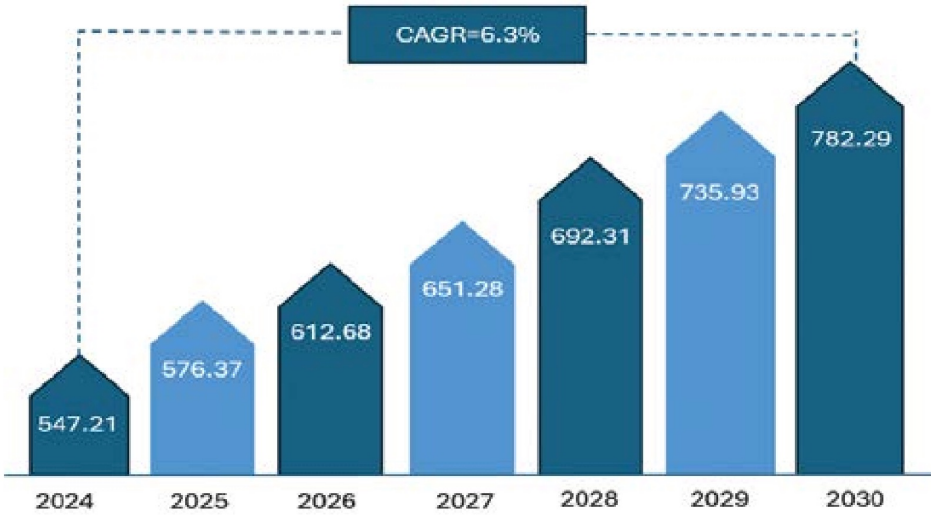
- **Absence of a supportive infrastructure and supply chain network** : Despite government initiatives, India still lacks adequate supply chain support, ancillary manufacturing, and infrastructure for high-quality medical device production, particularly in high-end technologies. Most local players focus on low-end products, while multinationals continue to rely on overseas production and imports for the Indian market.
- **Peculiar nature of domestic market** : India's large population and disease burden have not translated into sufficient domestic demand for high-end medical devices, with usage largely confined to metro hospitals and affluent patients. In non-metro regions, affordability drives preference for low-cost devices, raising concerns over long-term sustainability for manufacturers.
- **R&D Limitations** : Extensive research and development are important in the medical device manufacturing industry. Lack of advanced infrastructure and specialized testing facilities can hinder research and development efforts. Currently, India needs to focus on developing such facilities to support their researchers. The low innovation is reflected in the number of patents granted to India.

Remark : *Despite existing challenges, the Indian government has shown strong commitment to Nurturing the med -tech industry through targeted schemes, progressive policies, and a sustained focus on ease of doing business. These efforts are collectively creating an enabling environment for growth, innovation, and increased global competitiveness. These measures aim to strengthen domestic manufacturing, boost exports, attract investments, and position India as a competitive player in the global medical device ecosystem.*

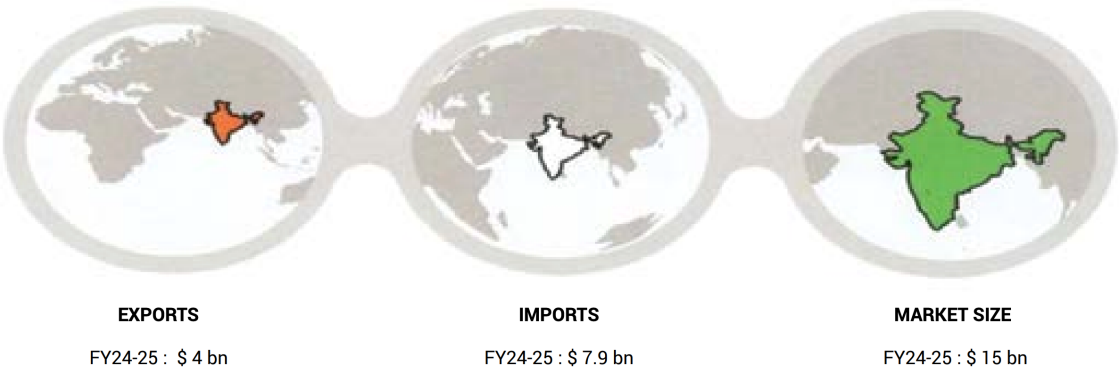




Global Medical Device Market Size (in US \$ Bn)



Indian Medical Device Market Size (in US \$ bn)



Beneficiaries

No.	Company		Market cap(Cr.)	Face Value
1	Poly Medicure Ltd		20,161	5
2	Shaily Engineering Plastics Ltd		10.586	2
3	Tarsons Products Ltd		1,662	2
4	Abbott India Ltd		65, 698	10
5	Bosch Ltd		1,17,455	10
6	Fischer Medical Ventures Ltd		7,150	1
7	Amanta Healthcare Ltd		536	10
8	Prevest Denpro Ltd		681	10



Indian

Healthcare Analytics & Technology Industry

Overview

India Market Size & Growth

- India's healthcare analytics market was valued at **USD 1.71 billion in 2024** and is projected to reach **USD 15.47 billion by 2033** (CAGR: **25.6%**).
- Growth is driven by rising digital adoption under the **Ayushman Bharat Digital Mission (ABDM)**, the expansion of electronic health records (EHRs), and demand for affordable tech-enabled solutions in urban and semi-urban regions.
- India is emerging as one of the **fastest-growing healthcare analytics markets globally**, offering attractive opportunities for both domestic startups and multinational firms.

Global Market Size & Forecast

- The global market reached **USD 52.98 billion in 2024** and is expected to grow to **USD 198.79 billion by 2033**, at a CAGR of **14.85%**.
- North America leads adoption due to high EHR penetration and strong payer-provider integration, but **Asia-Pacific is set to outpace in growth rate** with rising investments in healthcare infrastructure and digital ecosystems.
- This rapid expansion underscores healthcare analytics as a **core enabler of value-based care and precision medicine worldwide**.

Fastest-Growing Segments

- **Predictive analytics** is one of the most dynamic segments, enabling early disease risk prediction, hospital readmission prevention, and personalized treatment pathways.
- **Cloud-based and hybrid deployment models** are seeing strong adoption due to scalability, lower upfront costs, and support for real-time analytics across multiple locations.
- **Operational analytics** is also growing fast, helping hospitals reduce costs, optimize staffing, and improve resource utilization—critical in markets with high patient loads like India.



Technology & Application Trends

- Integration of **AI and machine learning** is improving clinical decision support, diagnostic accuracy, and treatment personalization.
- **IoT devices and wearables** are generating real-time patient health data, enhancing remote monitoring and preventive care models.
- **Big data integration** is allowing health systems to combine clinical, financial, and social determinants of health (SDOH) data, offering deeper insights for population health management.
- Pharma companies increasingly rely on analytics for **clinical trial design, drug discovery, and real-world evidence generation**.

Drivers & Enablers

- **Government push:** Programs like ABDM in India and global mandates on EHR adoption are accelerating digitization.
- **Chronic disease burden:** Rising cases of diabetes, cardiovascular conditions, and cancer are pushing demand for predictive and personalized healthcare solutions.
- **Cost efficiency:** Analytics tools help reduce wastage, shorten hospital stays, and improve resource allocation, making healthcare more sustainable.
- **Insurance expansion:** Broader insurance penetration is driving adoption of fraud detection and claims analytics among payers.
- **Consumer expectations:** Patients increasingly demand data-driven, personalized, and preventive healthcare experiences.

Regional & End-User Dynamics

- In India, **tier-1 hospitals, insurers, and pharmaceutical companies** are early adopters, while rural and smaller clinics still face cost and infrastructure barriers.
- **Asia-Pacific** is witnessing the fastest growth due to investments in **digital health ecosystems, health-tech startups, and AI-driven diagnostic platforms**.
- Globally, payers (insurance companies) are leveraging analytics for **risk assessment, fraud detection, and claims optimization**, while providers focus on **clinical decision-making and patient engagement**.
- Pharma and life sciences are investing heavily in **R&D analytics, pharmacovigilance, and market access strategies**, further expanding the industry's scope.



Key Opportunities

- **AI-Powered Diagnostics & Predictive Care** : AI/ML can improve radiology, pathology, genomics, and chronic disease prediction, making diagnostics faster and more accurate.
 - **Rise of Digital Health Ecosystem** : Telemedicine, e-pharmacies, and wearable health devices generate real-time data streams that need advanced analytics. **National Digital**
 - **Health Mission (NDHM) Push in India** : Unified health IDs, interoperable EHRs, and government-backed digital adoption open a huge opportunity for health-tech firms.
 - **Insurance & Fraud Analytics** : Growing health insurance penetration creates demand for fraud detection, claims analytics, and risk-based underwriting.
 - **Operational Efficiency for Hospitals** : Analytics can optimize hospital resource allocation, supply chains, patient flow, and reduce costs significantly.
 - **Global Outsourcing Hub Potential.**: India can emerge as a **low-cost outsourcing destination** for healthcare analytics services, serving US & EU healthcare systems.
 - **Preventive & Personalized Healthcare**
- With rising lifestyle diseases, analytics can power personalized nutrition, treatment plans, and preventive screening programs.



Key Challenges Ahead

➤ Data Privacy & Security Risks

Handling sensitive patient data raises compliance risks under HIPAA (US), GDPR (EU), and India's DPDP Act. Cybersecurity threats and breaches can erode trust.

➤ Fragmented & Poor Data Quality

Lack of standardization in EHRs, inconsistent coding, and incomplete records reduce analytics effectiveness. Integration across multiple hospital systems remains a hurdle.

➤ High Implementation Costs

Advanced AI/ML solutions require significant upfront investment in tech, infrastructure, and skilled manpower. Smaller hospitals and diagnostics centres struggle with affordability.

➤ Talent Shortage

Limited availability of professionals skilled in healthcare + data science + regulatory knowledge. Heavy dependence on global expertise.

➤ Regulatory & Interoperability Challenges

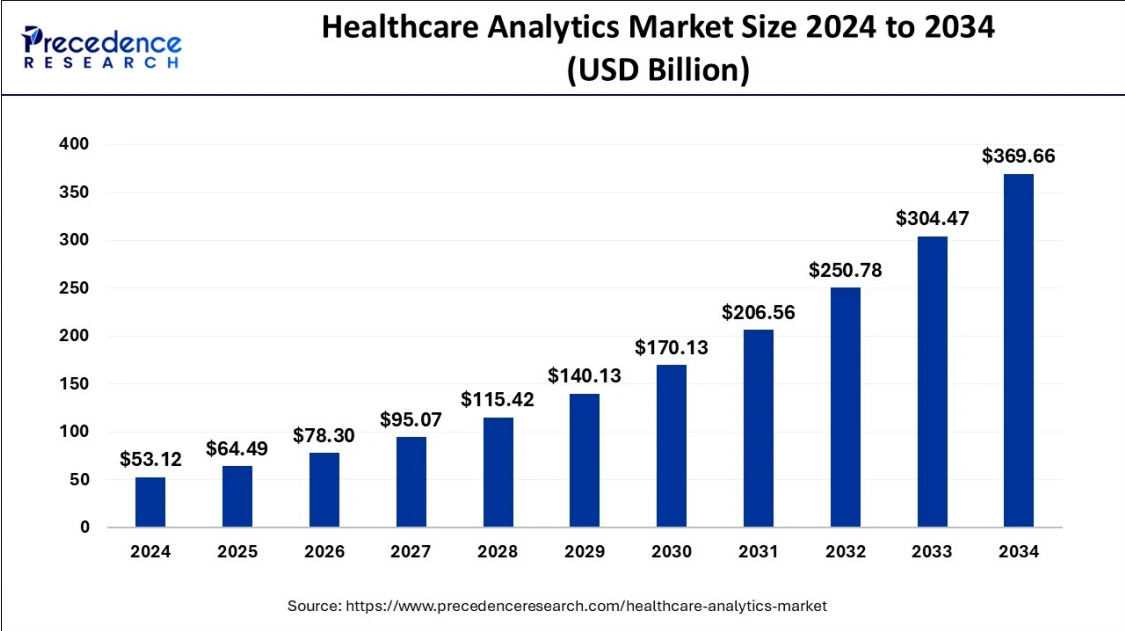
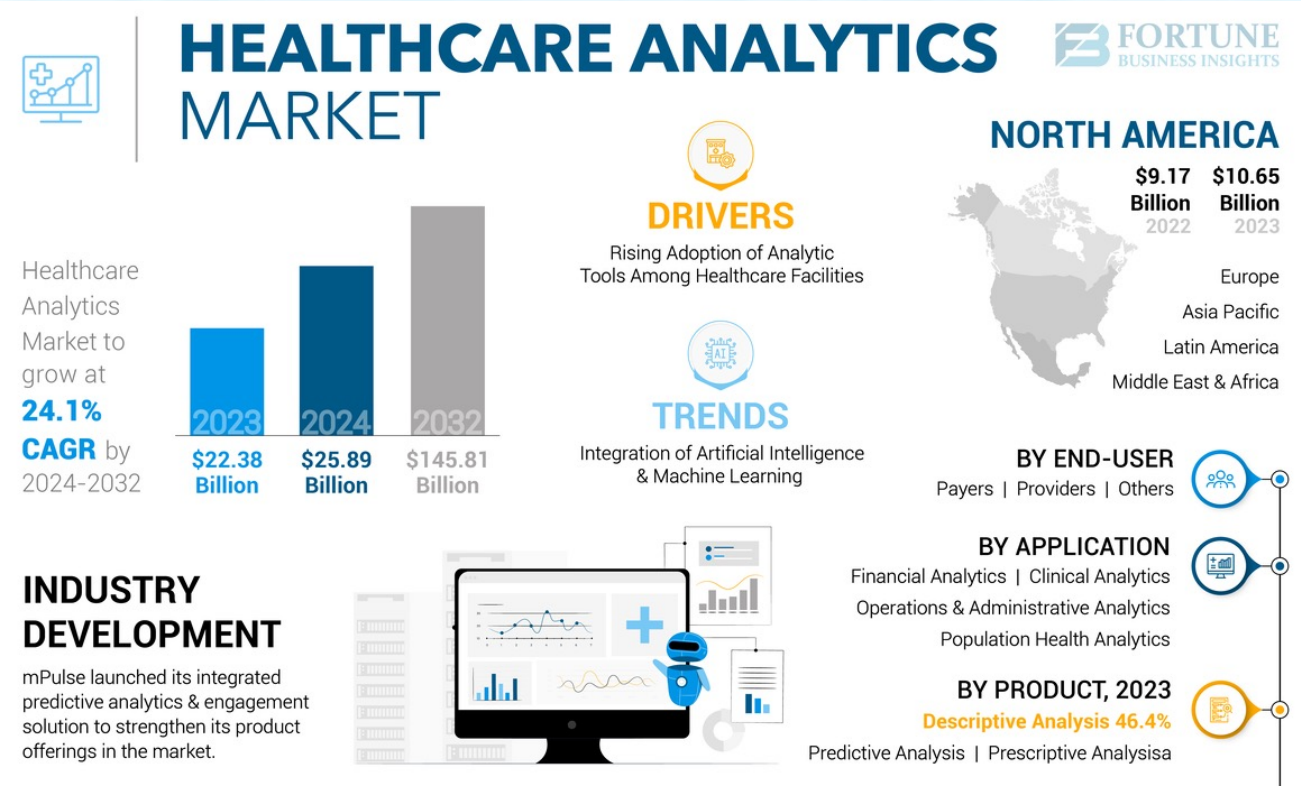
Lack of common frameworks and interoperability between private & government healthcare databases slows adoption.

➤ Resistance to Adoption

Many healthcare providers still prefer traditional processes, fearing tech complexity or job displacement.



Story in Charts



Beneficiaries

No.	Company		Market cap(Cr.)	Face Value
1	Sagility India Ltd		20,885	10
2	Inventurus Knowledge Solutions Ltd		26,772	1
3	Firstsource Solutions Ltd		25,799	10



Indian

Miscellaneous Industries Benefiting from Healthcare Growth

1. Healthcare Packaging

Drivers: Pharma exports (India is the “pharmacy of the world”), biologics, injectables, and rising domestic consumption.

Trends: Growth in **sustainable packaging** (biodegradable plastics, recyclable materials), smart packaging (QR codes for traceability), and **child-resistant packs** for compliance.

Opportunities: High demand for sterile blister packs, glass vials, pre-filled syringes, and tamper-proof seals.

2. Cold Chain & Logistics

Drivers: Vaccines (post-COVID focus), biologics, blood/plasma transport, and temperature-sensitive medicines.

Trends: Adoption of **IoT, RFID & GPS tracking** for real-time monitoring; investment in pharma-grade cold warehouses; **hub-and-spoke** logistics models for Tier-2/3 cities.

Opportunities: Partnerships with hospitals, diagnostic chains, and pharma companies to ensure timely and safe distribution.

3. Healthcare IT & BPO Services

Drivers: Rising digitalization (NDHM, e-health records), global outsourcing demand, and US healthcare reforms.

Trends: AI in claims processing, RPA (robotic process automation) in revenue cycle management, telemedicine back-end support, and **HIPAA-compliant services** for global clients.

Opportunities: India as a **global hub for healthcare IT outsourcing**, especially in medical billing, telehealth support, and data analytics.



Indian

Miscellaneous Industries Benefiting from Healthcare Growth

4. Medical Textiles & PPE

Drivers: Pandemic-driven hygiene awareness, export markets, and hospital demand.

Trends: Use of **antimicrobial fabrics**, reusable PPE, and **non-woven technical textiles**.

Opportunities: Expansion in surgical gowns, masks, drapes, hospital linens, and wound care textiles.

5. Hospital Infrastructure & Equipment Suppliers

Drivers: Increased hospital bed targets, government healthcare spending, private sector expansions.

Trends: Modular ICUs, energy-efficient HVAC, robotic surgical theatres, digital hospital management systems.

Opportunities: Companies in **civil construction, medical furniture, sterilization equipment, oxygen plants** benefit directly.

6. Diagnostics & Lab Consumables

Drivers: Preventive healthcare adoption, chronic disease burden, and growing diagnostics chains (Metropolis, Dr Lal Pathlabs, etc.).

Trends: Shift to **point-of-care testing (POCT)**, self-diagnostics, and automation in labs.

Opportunities: Growing demand for reagents, test kits, pipettes, sample tubes, blood collection systems, and consumables.



Indian

Miscellaneous Industries Benefiting from Healthcare Growth

7. Wellness & Nutraceuticals

Drivers: Lifestyle diseases, rising health-conscious middle class, and aging population.

Trends: Personalized nutrition (DNA-based diets), fortified foods, ayurvedic nutraceuticals, sports nutrition, and preventive supplements.

Opportunities: Strong growth for **nutraceutical packaging, distribution, and D2C wellness brands.**

8. Waste Management & Sterilization Services

Drivers: Rising biomedical waste from hospitals, diagnostics, and vaccination programs.

Trends: Govt regulations on **biomedical waste segregation & treatment;** adoption of **plasma pyrolysis, autoclaves, and incinerators.**

Opportunities: Specialized companies in biomedical waste collection, sterilization, and recycling services have long-term growth prospects.



Beneficiaries

Healthcare Packaging

- **UFlex Ltd** – Flexible packaging, sterile pharma packaging.
- **EPL Ltd** – Laminated tubes for pharma and personal care.
- **Time Technoplast Ltd** – Medical-grade plastic packaging, containers.
- **GSM Foils Ltd** - manufactures a broad array of Blister Foils and Aluminium Pharma Foils

Cold Chain & Logistics

- **Snowman Logistics Ltd** – Leading cold chain player for pharma and food.
- **Gateway Distriparks Ltd** – Provides temperature-controlled logistics.

Hospital Infrastructure & Equipment Suppliers

- **Poly Medicure Ltd** -Medical consumables like IV cannulas, blood collection devices etc. — used in hospitals & diagnostics.
- **Prevest Denpro Ltd** - Dental equipment & supplies.
- **Tarsons Products** - Tarsons Products Ltd. (TPL) is an Indian labware company that designs, manufactures, and markets consumables, reusables, and benchtop equipment for research, pharma, CROs, diagnostics, and hospitals.



Beneficiaries

Diagnostics & Lab Consumables

- **Polymed (Poly Medicure Ltd)** – IV cannulas, syringes, blood bags.
- **Tarsons Products Ltd** – Engaged in the design, development, manufacturing, and marketing of consumables, reusables, and benchtop equipment for laboratories across research, academia, pharma, CROs, diagnostics, and hospitals.
- **Jubilant Pharmova Ltd** – Reagents, chemicals for diagnostics & pharma.

Wellness & Nutraceuticals

- **Zydus Wellness Ltd** – Consumer healthcare, nutraceuticals.
- **Emami Ltd** – Ayurvedic nutraceuticals & OTC health products.

Waste Management & Sterilization Services

- **Antony Waste Handling Cell Ltd** – Waste management player with biomedical handling vertical.
- **VA Tech Wabag Ltd** – Water treatment & hospital effluent management.



- The **Indian healthcare sector** is at an inflection point expected to become one of the largest global markets with strong long-term demand drivers such as **population growth, urbanization, lifestyle changes, and higher disposable income.**
- Sub-segments — **Hospitals, pharmaceuticals, diagnostics, medical devices, biotechnology, and digital health** — are witnessing rapid transformation, driven by **innovation, investments, and policy support.**
- The sector benefits from India's unique position as the **"Pharmacy of the World"** a hub for **medical tourism**, and an emerging base for **medical devices & biotech innovation.**
- **Technology adoption** (telemedicine, AI in diagnostics, digital health records, robotics in surgery) is reshaping efficiency, accessibility, and patient outcomes.
- **Opportunities for investors** lie in consolidation of hospital chains, growth in branded generics, expansion of specialty pharma, CRDMOs, API self-reliance, diagnostics scale-up, and rising demand for advanced medical devices.
- However, **challenges persist** — including regulatory risks, pricing controls, infrastructure gaps, talent shortages, and high capital intensity in hospitals and devices.
- Overall, the Indian healthcare sector presents a **multi-decade growth story**, supported by **demographic tailwinds, innovation, and government reforms**, making it a key pillar India's journey toward a **\$5 trillion+ economy.**
- The future is about building a **healthcare ecosystem that is affordable, accessible, and globally competitive**, positioning India as a **world leader in healthcare delivery and innovation.**



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